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To achieve gender diversity in the boardroom, India Inc. will need to create a robust leadership pipeline for women

EMPOWERING WOMEN IN INDIA INC.'S BOARDROOMS

Women in leadership roles can enable unprecedented economic growth and sustainable development

IT HAS BEEN 10 years since the Indian government brought about amendments to the Companies Act, making it mandatory for listed firms to have at least one woman on the board of directors.

In fact, India was the first developing country to introduce quotas for women on boards in 2013. A few years later, the Securities and Exchange Board of India (Sebi) made it compulsory for the top 1,000 listed entities to have at least one woman independent director. By the end of FY23, over 4,700 women directors were serving on the boards of 3,200 listed companies in the country, per data from the Ministry of Corporate Affairs (MCA). The regulatory push has increased women's representation in Indian corporate boardrooms to 18 per cent in 2022, per an EY report, but a lot more still needs to be done.

According to a 2022 Deloitte Global study, women in India have a higher "stretch factor"—the average number of board seats held by a particular individual—than men. This means a small cohort of the same women are serving on a large number of corporate boards. This is despite the fact that more than 6,000 women are currently registered with the Indian Institute of Corporate Affairs—a part of the MCA—which manages a databank of available board directors.

Gender Diversity Key to India's Growth: It is imperative to un-

derscore that the advancement of women in the workforce is not just a moral or ethical imperative; it is a pragmatic strategy with far-reaching implications for India's economic prosperity and global competitiveness. Embracing the full potential of women in leadership positions is not just about achieving gender balance, but is a catalyst for unlocking unprecedented economic growth and sustainable development.

To achieve gender diversity in the boardroom, India Inc. will need to create a robust leadership pipeline for women. Improving the representation of women in corporate leadership will not only enhance company performance but also foster a culture of greater inclusion and diversity throughout the entire workforce.

This issue holds particular significance for a country like India, where the decline in female labour participation is a cause for concern. Despite the remarkable growth of the Indian economy, which has expanded over 10-fold since 1990, the share of women in the workforce has dwindled from 30 per cent to 19 per cent in 2021, per World Bank.

The alarming statistic that less than 20 per cent of India's women are engaged in paid employment, compared to over 70 per cent of men, underscores the urgency of addressing this imbalance.

In the context of India's ambitious goal of becoming a \$5-trillion